(5) Income Taxes

Income before income taxes is as follows (in thousands of dollars):

	2000	1999	1998
Domestic	$ 4,825	$ 6,758	$ 11,916
Foreign	(12,235)	(2,992)	6,515
	$ (7,410)	$ 3,766	$ 18,431

Components of income tax expense are (in thousands of dollars):

	2000	1999	1998
Currently due:			
U.S. federal	$ (118)	$ 366	$ 5,012
State and local	(188)	537	1,272
Foreign	1,017	2,726	1,660
	711	3,629	7,944
Deferred:			
U.S. federal	672	(355)	(1,185)
State and local	79	(11)	(157)
Foreign	(1,462)	(777)	402
	(711)	(1,143)	(940)
	$ -	$ 2,486	$ 7,004

Deferred income taxes result from temporary differences between the financial statement and tax bases of the Company's assets and liabilities. The sources of these differences and their cumulative tax effects are (in thousands of dollars):

	2000			1999		
	Assets	Liabilities	Total	Assets	Liabilities	Total
Contract income	$ 1,942	-	$1,942	$2,627	-	$2,627
Accrued insurance expense	1,943	-	1,943	2,247	-	2,247
Employee compensation	980	-	980	891	-	891
Bad debts	1,186	-	1,186	1,011	$ (111)	900
Inventory	1,183	$ (2,707)	(1,524)	1,317	(2,848)	(1,531)
Other accrued expenses	6,288	(520)	5,768	4,568	(395)	4,173
Loss carryforwards	29	-	29	264	-	264
Current	13,551	(3,227)	10,324	12,925	(3,354)	9,571
Accelerated depreciation	155	(7,837)	(7,682)	20	(8,430)	(8,410)
Cumulative translation adjustment	2,670	-	2,670	3,136	-	3,136
Accrued insurance expense	2,134	-	2,134	2,107	-	2,107
Loss carryforwards	1,928	-	1,928	2,099	-	2,099
Unrealized (gain)/loss on investments	780	-	780	751	(235)	516
Employee compensation	310	(161)	149	621	(196)	425
Other	506	(1,865)	(1,359)	198	(2,354)	(2,156)
Noncurrent	8,483	(9,863)	(1,380)	8,932	(11,215)	(2,283)
	$22,034	$(13,090)	$8,944	$21,857	$(14,569)	$7,288

The Company has several Australian and African subsidiaries which have generated tax losses. The majority of these losses have been utilized to reduce the Company's U.S. federal and state income tax expense.

For federal income tax purposes, the Company has net operating loss carryforwards totaling $5,100,000 at January 31, 2000. The net operating loss carryforwards expire between 2010 and 2015. The Company also generated state net operating losses which can be carried forward.

At January 31, 2000, undistributed earnings of foreign subsidiaries and foreign affiliates included $13,450,000 for which no U.S. federal income or foreign withholding taxes have been provided as foreign tax credits should become available under current tax law to significantly reduce or eliminate the resulting U.S. income tax liability.

A reconciliation of the total income tax expense to the statutory federal rate is as follows (in thousands of dollars):

	2000		1999		1998	
	Amount	Effective Rate	Amount	Effective Rate	Amount	Effective Rate
Income tax at statutory rate	$(2,519)	(34.0)%	$1,280	34.0%	$6,451	35.0%
State income tax, net of federal income tax benefit	(71)	(1.0)	342	9.1	654	3.5
Difference in tax expense resulting from:						
Non-deductible expenses	448	6.0	394	10.4	404	2.2
Unremitted income of foreign affiliates	9	0.1	(189)	(5.0)	(1,057)	(5.7)
Taxes on foreign operations	1,825	24.6	793	21.1	797	4.3
Other, net	308	4.3	(134)	(3.6)	(245)	(1.3)
	$ -	-	$2,486	66.0%	$7,004	38.0%